The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Donald Trump said he was imposing an **additional 10% global tariff** under Section 122, a provision allowing the president to impose levies for up to 150 days. America's president said he was "ashamed" of the **Supreme Court** justices who voted 6-3 to strike down the bulk of his levies. The court rejected the administration's argument that the International Emergency Economic Powers Act allows the president to impose "unbounded" tariffs.

The **American economy** grew more slowly than expected in the fourth quarter of last year. GDP rose by just 1.4% on an annualised basis, down from 4.4% in the previous quarter. A slowdown in consumer spending and a 43-day government shutdown weighed on growth. But analysts expect it to pick up in the first months of 2026, when large tax refunds should boost household consumption.

The prospect of war in **Iran** pushed the price of Brent crude, the global oil benchmark, to its highest level in six months. On Thursday Mr Trump warned Iran that "really bad things will happen" if it fails to reach a deal over its nuclear programme within 15 days. America has deployed enough military resources in the region to attack Iran by this weekend.

Germany, France, Italy, Poland and Britain launched a programme to develop low-cost **drones** and **air-defence systems**, based on expertise gathered from Ukraine's battlefields. The five countries pledged to spend millions of euros on the weaponry, which they hope will protect Europe's skies against Russian incursions. This year Europe is expected to spend more on defence than at any time since the cold war.

Aston Martin issued its third profit warning in months due to slowing sales and the impact of tariffs in America, its largest market. The luxury carmaker said losses in 2025 were worse than the lower end of analyst expectations of £184m ($248m). Wholesale deliveries fell by a tenth to around 5,500 last year. To raise cash, the company is selling its Formula 1 naming rights for £50m.

British police continued to search Royal Lodge, the former home of **Andrew Mountbatten-Windsor**. The erstwhile Prince Andrew was released from police custody on Thursday after being arrested on suspicion of misconduct in public office. Police are investigating whether Mr Mountbatten-Windsor shared classified documents with Jeffrey Epstein, a dead sex offender to whom he was close. He has denied wrongdoing.

Christine Lagarde vowed to remain president of the **European Central Bank** until her term ends in October 2027, contradicting reports that she wanted to step down early. In an interview with the *Wall Street Journal*, she defended her record, adding that completing her tenure would ensure it remains "solid". An early exit would give Emmanuel Macron sway over her successor before France's election in 2027.

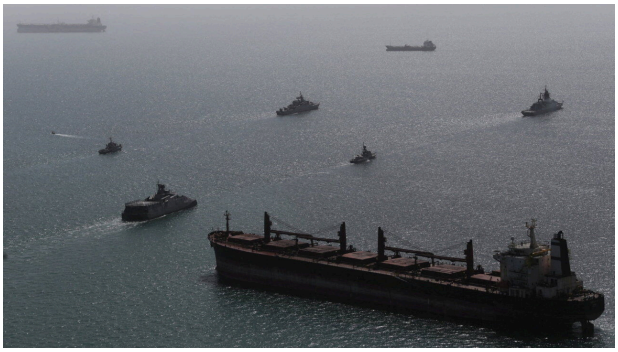
Figure of the day: 15%, the share of annual GDP spent on the American welfare state. Read the full story.

Photograph: Getty Images

Why America’s weak GDP figure is misleading

The American economy looked like it was on a tear. In the third quarter of 2025, GDP grew by 4.3% on an annualised basis—well above the impressive 2.5-3% clocked up between 2022 and 2024. But the fourth-quarter figure, released on Friday, was unexpectedly low at 1.4%. Has the gravity of Donald Trump’s tariffs and attacks on the Federal Reserve finally dragged the economy back down to earth?

Not quite. The reason GDP has fallen is mainly technical: the government shutdown in October and November knocked around a percentage point off overall growth. (Which should, more or less, rebound in the next quarter.) A narrower but more-stable metric combining business investment and consumer spending came in at 2.4%—around average for the post-pandemic years. Meanwhile the One Big Beautiful Bill Act, a tax-cutting law enacted in July, will soon hand Americans $191bn in refunds. And Mr Trump is still crusading for interest-rate cuts—which could boost the economy further.



Photograph: Iranian Army/WANA/Reuters

America readies itself to attack Iran

The largest warship in the world is steaming towards Iran. The *USS Gerald R. Ford* will soon join another aircraft-carrier already stationed in the Arabian Sea, as America amasses military might in the Middle East. Dozens of fighter jets and warplanes arrived this week after a second round of nuclear talks between America and Iran proved inconclusive.

After the meeting in Geneva on Tuesday, Iran's foreign minister said there had been "general agreement on some guiding principles". American officials were even less ebullient, and no date was set for a third meeting. President Donald Trump has given the Iranians "15 days" to come back with a more detailed proposal on curtailing their nuclear programme, and has warned that "bad things" will happen if they don't. The Pentagon says America will be capable of launching a strike by the weekend. An attack is looking likelier by the day.

Photograph: A24

Coronets to private jets: an oldie remade

In “How to Make a Killing”, out in America on Friday and elsewhere soon, the outcast scion of a mega-rich Long Island clan schemes to inherit its fortune—by bumping off all his rival heirs. Starring Glen Powell, who is charming even as a serial killer, the delightfully mordant movie is an update of the Ealing comedy of 1949, “Kind Hearts and Coronets”, in which the tale unfolds in Edwardian England.

The new film adopts parts of the original plot, including some elaborate murder methods, and tweaks others. What is striking is how perfectly the story fits today’s tetchily unequal age. Once again, plutocrats set impossible standards of luxury. Meanwhile the “great wealth transfer”, whereby baby-boomers are passing on assets worth trillions of dollars, spreads both jackpots and resentments across the income spectrum. This is one of several recent dramas that depict the ensuing tensions, and is among the most entertaining.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Friday: When Alexander Graham Bell made the first telephone call, who did he call?

Thursday: Which Canadian business, originally founded in 1670 and noted for its department stores, was finally liquidated in 2025?

The secret of being a bore is to tell everything.

Voltaire